	Question 1: Analyse the cashflow forecasts and evaluate the reasonableness of the assumptions and information given.	**Question 2: Explain the further specific audit evidence required to ensure appropriate assurance over any specific concerns you have identified in Question 1, relating to management's going concern assumption.**
Cash from customers, wholesale	The new contract represents a very significant increase in sales (25%) and, although the forecast aligns with management expectations **(1 mark)**, these projections are ambitious and highly significant to the cashflow of Gowrie **(1 mark)**. Also, an 8% price increase across all wholesale lines from Q3 may be unacceptable to some customers, affecting sales volume adversely **(1 mark)**.	Inspect the supermarket contract to establish the expected volume and value of sales committed to **(1 mark)**. Inspect sales invoices and records of goods despatched for the period since the contract began, to establish the level of sales to date **(1 mark)**. Inspect any correspondence with customers about expected future price rises and their willingness to accept these **(1 mark)**. Ask Gowrie to perform sensitivity analysis to consider the possible effects of the expected price rise on unit sales volume and the effects on the cashflow forecast **(1 mark)**.
Cash from customers, direct (GV and website)	Both lines show steady growth across all quarters, in alignment with management expectations. **(1 mark)** However, we would expect significant seasonality in GV cashflows as it is exceptionally busy in the summer. **(1 mark)** Inaccurate seasonal modelling could result in inaccurate projections of closing cash balances for each quarter **(1 mark)**.	Ask Gowrie to restate the GV forecast to reflect seasonal patterns, and to consider the effects on the cashflow forecast **(1 mark)**. Recalculate these amendments, with reference to source Gowrie data relating to GV activity levels **(1 mark)**.
New term loan	This forecast is in alignment with the information provided **(1 mark)**. *(but see 'Interest' below).*	
Disposal of unused land	This forecast is in alignment with the information provided **(1 mark)**. However, we have been presented with no basis for the estimated receipt **(1 mark)** and the amount suggested may be unrealistic for a small site with significant clearance work required **(1 mark)**.	Inspect correspondence between Gowrie and its professional valuers (**or** obtain the advice of an auditor's expert) **(1 mark)** regarding the attractiveness of the site and the likely viability of the estimate provided **(1 mark)**.
Direct materials	This forecast is in alignment with the information provided, with direct materials forecast to amount to 38% of cash from customers **(1 mark)**.	

Payroll and overheads	Payroll and overheads are both uplifted, with a general pay rise **(1 mark)** and overhead inflation **(1 mark)** both being reflected. However, there is no modelling of any increase in staff numbers or in the scale of overhead activities. **(1 mark)** This may not be realistic given the significant growth expected in sales volumes and the scale of the GV project **(1 mark)**.	Inspect other forecast documents (eg: department budgets) about the likelihood of additional payroll and overhead costs **(1 mark)**.
Investment in GV	This forecast is in alignment with the information provided **(1 mark)**. However, this is a major capital outflow and building projects can vary significantly in the final outturn cost and in the timing of phased payments to contractors **(1 mark)**. The CFO has acknowledged that £51m is a 'best guess' **(1 mark)**.	Inspect correspondence between Gowrie and its architects (**or** obtain the advice of an auditor's expert) **(1 mark)** regarding their assessment of the likely value and timing of payments, and any risks in this regard **(1 mark)**. Ask Gowrie to perform sensitivity analysis of the potential outcomes of this project and the effect on the cashflow forecast **(1 mark)**.
Interest	This forecast is in alignment with the information provided, at least in relation to Gowrie's overdraft **(1 mark)**. However, the effects of the new bank loan do not have appear to have been accounted for **(1 mark)**. In Q1 next year, when the full term-loan facility will have been accessed, we would expect the interest on this facility to be significant *(£36m * (8%/4) = £720,000 per quarter)* **(1 mark)**.	Ask Gowrie to restate the cashflow forecast to include the expected interest on the term-loan facility **(1 mark)**. Recalculate the results of this analysis, using the loan agreement as source data **(1 mark)**.
Dividends	This forecast is in alignment with the information provided **(1 mark)**. However, the regular payment of dividends (**or** the strong projected operational cashflows) would suggest that Gowrie is reliably profitable **(1 mark)**. We would thus expect Gowrie to pay corporation tax, but there are no outflows forecast **(1 mark)**.	Inspect and assess any corporation tax estimates prepared by Gowrie **or** ask a tax specialist in our firm to estimate **(1 mark)** the value and timing of any corporation tax cashflows **(1 marks)**.

Total: 40 marks